



Draft Budget Plan 2026

Belgium

14/01/2026

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Introduction

This document includes, in accordance with Article 6 of European Regulation 473/2013, Belgium's draft budgetary plan. It provides explanations on the budgetary policy for 2026 and on the budgetary measures taken by the various sub-sectors of government.

As part of the excessive deficit procedure opened against Belgium on 26 July 2024, the Council adopted a revised recommendation under Article 126(7) TFEU on 20 June 2025, with the aim of bringing the excessive deficit to an end. A new corrective path for net expenditure was recommended, in line with the net expenditure path set out in Belgium's medium-term fiscal-structural plan, which was also approved by the Council on 20 June 2025.

In response to this recommendation, Belgium submitted a separate report on 31 October 2025 on the effective action taken to end the excessive deficit situation. This report did not take into account the additional budgetary efforts decided at the end of 2025 by the federal government, which are indeed included in the draft budgetary plan.

After the Commission presented an ambitious package of defence measures on 19 March 2025, inviting Member States to activate the national escape clause provided for in the Stability and Growth Pact in order to create the budgetary margin necessary to increase defence spending, Belgium submitted a formal request to this effect on 30 April 2025. This request, along with those of 14 other Member States, was accepted by the Council on 8 July 2025. The activated clause allows for a deviation from the approved maximum net expenditure path. It covers a period of four years and offers maximum flexibility of 1.5% of GDP.

Based on current projections, Belgium's budget balance for 2025 is estimated at -5.2% of GDP and the gross debt at 107.3% of GDP.

Belgium's budget balance is expected to be -4.9% of GDP in 2026.

Based on the projected budget balance, the general government gross debt-to-GDP ratio for 2026 is currently estimated at 110.1% of GDP.

Net expenditure growth, meanwhile, will reach 4.3% in 2025, which is higher than the trajectory recommended by the Council. In 2026, however, this growth will fall to 1.3%, which is lower than the level forecast in the reference trajectory. Cumulative growth would thus stand at 5.7% in 2026, compared with 6.1% in the reference path. Based on the figures used, the Belgian authorities are complying with their commitment to control expenditure, as set out in the medium-term fiscal-structural plan for the period 2025-2026. The above figures do not yet take into account the application of the escape clause.

This report was elaborated on the basis of contributions from the Communities and Regions and the federal government and was approved by the Consultative Committee on 14 January 2026.

1 Evolution of the net expenditure path

On 20 June 2025, the Council adopted a recommendation approving the maximum net expenditure path proposed in Belgium's first fiscal-structural plan.

On the basis of this recommendation, the allowed growth in net expenditure is 3.6% in 2025 and 2.5% in 2026.

On 8 July, a new Council recommendation was addressed to Belgium, authorising it to deviate from the maximum growth rates for net expenditure set out in Regulation (EU) 2024/1263, following the activation of the national escape clause. In this recommendation, the Council recommends that *"During the period 2025–2028, Belgium is allowed to deviate from and exceed the maximum growth rates of net expenditure as set by Council Recommendation C/2025/3698 to the extent that the net expenditure in excess of these maximum growth rates is not more than:*

- (i) *the increase in defence expenditure in percent of GDP since 2021;*
- (ii) *provided that the deviation in excess of the maximum growth rates of net expenditure does not exceed 1,5 percent of GDP."*

The figures for Entity I (federal government and social security) and the Communities and Regions used to compile Tables 1a and 1b take into account the decisions recently taken on the 2026 budgets, with the exception of the Brussels-Capital Region, where government negotiations are still ongoing.

Estimated net expenditure growth will be 4.3% in 2025 and 1.3% in 2026, without adjusting for the increase in defence expenditure.

Cumulative growth would thus stand at 5.7% in 2026. This is lower than the 6.1% cumulative growth forecast in the medium-term fiscal-structural plan, even before applying the flexibility allowed by the national derogation clause.

Table 1a: Change in aggregate expenditure

		Council recommendation		Outturn / projection	
		2025	2026	2025	2026
		growth rate	growth rate	growth rate	growth rate
1	Net nationally financed primary expenditure (annual)	3,6	2,5	4,3	1,3
2	Net nationally financed primary expenditure (cumulative)	3,6	6,1	4,3	5,7

Table 1b shows the factors underlying the net expenditure trajectory and the key public finance variables.

Table 1b: Main variables

		Outturn	Projection	
		2024	2025	2026
		% gdp	% gdp	% gdp
1	Net lending/borrowing	-4,4	-5,2	-4,9
2	Structural balance	-4,1	-5,0	-4,7
3	Structural primary balance	-1,9	-2,6	-2,1
4	Gross debt	103,9	107,3	110,1
5	Change in gross debt	1,5	3,4	2,8

2 Macroeconomic developments

The figures for 2024 are based on the detailed annual national accounts published by the Institute for national accounts (INA) on 17 October 2025.

The macroeconomic forecasts for 2025 and 2026, which were used in the preparation of this report, were estimated by the Federal Planning Bureau (FPB) at the request of the INA and published as part of the economic budget of 8 September 2025.

These forecasts only take into account measures whose details were known with sufficient precision on 20 August 2025.

2.1 Economic outlook for Belgium

Economic growth

Belgium recorded economic growth of 1.1% in 2024 and is expected to see economic growth of 1.2% in 2025. This growth is driven by private consumption, but also by public spending and investment. In 2026, economic growth is estimated to reach 1.1%.

Components of expenditure

Growth in private consumption reached 2.0% in 2024 and is expected to accelerate in 2025 (+2.4%), despite weak growth in personal disposable income (+0.7% and +1.2%). This result can be explained by the fact that households drew on their savings to maintain their level of consumption. The limited growth in disposable income is due to a slowdown in job creation and the end of energy-related support measures (in 2024). In 2026, growth in private consumption is expected to slow to 1.3%, undermined by weak income growth (+1.0%).

Residential investment, which has been sluggish since 2022, continued to contract in 2023 and 2024 (-2.5% and -4.8%). This trend is expected to continue in 2025 (-6.6%). This development is due to rising mortgage rates and the high cost of construction materials. Residential investment is expected to recover from 2026 onwards, with positive growth of 2.8% thanks to stabilising interest rates.

Business investment grew significantly in 2023 (+5.1%) and slowed in 2024 (+1.8%), given the low utilisation of industrial production capacity and a series of specific transactions (sale of ships abroad). In 2025 and 2026, business investment is expected to grow more strongly (+2.5% and 2.4%) in view of the improved market outlook and the impulse provided by various recovery plans. In addition, improved profit margins are giving companies greater opportunities for self-financing, particularly in areas such as digitalisation and the green transition.

Driven by the local election cycle, public investment grew significantly in 2024 (+9.5%). In addition, growth in 2024 was also fuelled by investment by the federal government (especially in defence) and by the Regions and Communities. In 2025, public investment growth is expected to remain at

7.4%. This is due, on the one hand, to investments aimed at achieving a defence effort of 2% of GDP in 2025 and, on the other hand, to substantial investments by the Regions and Communities as part of the recovery plans and the Oosterweel link. For 2026, public investment is expected to grow at a more moderate rate (+4.0%).

In 2024 and 2025, public consumption growth was sustained (+1.8% and +2.2%). For 2024, the growth is explained by measures taken during the energy crisis (extension of the social tariff). And for 2025, it is explained by the increase in defence purchases so that Belgium can meet its NATO commitment to achieve a defence effort of 2% of GDP. In 2026, public consumption growth slows sharply (+0.4%) due to slowdowns in healthcare spending and expenditure on public sector wages, as well as a contraction in net purchases of goods and services.

The trade balance will make a negative or zero contribution to GDP growth over the entire projection period. Sluggish global trade growth weighed heavily on Belgian exports, which contracted in 2024 (-1.7%). Imports also fell significantly in 2024 (-1.3%). In 2025, trade disputes will have a limited impact on external demand, while domestic demand will strengthen. As a result, exports and imports are expected to contract to a lesser extent (-1.6% and -0.9%). From 2026 onwards, the recovery in external and domestic demand will enable exports and imports to record positive growth.

Price trends

In 2024, the decline in energy prices came to an end and prices rose again.. This increase is due to higher energy consumption for heating and increased use of natural gas for electricity generation, which is rapidly depleting European natural gas reserves. In 2025 and 2026, energy prices began to fall again. Core inflation continued to decline gradually in 2024-2026. As a result, Belgian inflation, measured on the basis of the harmonised index of consumer prices, fell to 3.1% in 2024. For 2025 and 2026, inflation is expected to be 2.9% and 1.6% respectively.

Like inflation, the health index has seen a slowdown in growth, which is expected to continue, falling from 3.3% in 2024 to 1.5% in 2026. The last time the pivotal index was exceeded was in December 2025, one month earlier than anticipated in the 2026 economic budget.

Labour market trends

In 2024, only 16,500 new jobs were created. In 2025, 26,000 new jobs are expected to be created in the commercial sector, while employment in the public sector is expected to grow very slightly. In 2026, 38,300 new jobs are expected to be created, mainly in the private sector, as public sector employment suffers from budgetary austerity measures.

The employment rate reached 72.3% in 2024. In 2025 and 2026, the employment rate is expected to grow slightly to 72.4% and 72.6%. It should be noted that the employment rate only covers the 20-64 age group. However, more than a third of the increase in employment concerns people aged 65 and over, given the increase in the legal retirement age and the rise in the number of retirees in flexi-jobs.

The unemployment rate (according to the Eurostat definition) is expected to reach 6.1% in 2025 and 6.4% in 2026.

Table 2: Macroeconomic developments

			2024 (Levels)	2024	2025	2026
	GDP	ESA-code	bn EUR	growth rate	growth rate	growth rate
1	Real GDP	B1*g		1,1	1,2	1,1
2	GDP deflator			1,9	2,4	1,8
3	Nominal GDP	B1*g	620,3	3,0	3,6	3,0
Components of real GDP				growth rate	growth rate	growth rate
4	Private consumption expenditure	P.3		2,0	2,4	1,3
5	Government consumption expenditure	P.3		1,8	2,2	0,4
6	Gross fixed capital formation	P.51		2,0	1,4	2,7
7	Changes in inventories and net acquisition of valuables (% of GDP)	P.52 + P.53		0,2	-0,9	-0,8
8	Exports of goods and services	P.6		-1,7	-1,6	1,8
9	Imports of goods and services	P.7		-1,3	-0,9	2,1
Contribution to real GDP growth						
10	Final domestic demand			2,0	2,1	1,4
11	Changes in inventories and net acquisition of value	P.52 + P.53		-0,6	-0,4	0,0
12	External balance of goods and services	B.11		-0,3	-0,5	-0,3
Deflators and HICP				growth rate	growth rate	growth rate
13	Private consumption deflator			1,7	2,2	1,4
14	p.m. HICP			4,3	2,9	1,6
15	Government consumption deflator			3,1	3,5	1,8
16	Investment deflator			1,3	1,9	1,8
17	Export price deflator (goods and services)			0,4	0,3	1,0
18	Import price deflator (goods and services)			0,0	0,1	0,8
Labour market			level	growth rate	growth rate	growth rate
19	Domestic employment (1000 persons, national accounts)		5.103,7	0,3	0,5	0,7
20	Average annual hours worked per person employed		1.583,3	-0,5	0,2	0,0
21	Real GDP per person employed			0,8	0,7	0,4
22	Real GDP per hour worked			1,3	0,5	0,4
23	Compensation of employees (bn NAC)	D.1	301,8	3,5	3,5	2,6
24	Compensation per employee (= 23 / 19)		71,7	3,4	3,1	1,9
					%	
25	Unemployment rate (%)			5,7	6,1	6,4
Potential GDP and components				growth rate	growth rate	growth rate
26	Potential GDP			1,5	1,4	1,2
Contribution to potential growth						
27	Labour			0,7	0,6	0,5
28	Capital			0,5	0,5	0,5
29	Total factor productivity			0,3	0,2	0,2
				% pot. GDP	% pot. GDP	% pot. GDP
30	Output gap			-0,2	-0,4	-0,5

2.2 International economic environment

Economic growth

The US policy on customs duties so far has had less negative repercussions on the global economy than expected in last June's estimates. As a result, the expected economic growth in the United States has not changed from the June estimates, while the expected economic growth for the euro area has been revised upwards for 2025. After strong growth in 2024 (+2.8% according to the IMF), the US economy is expected to slow down to 1.6% in 2025 and 2026. In addition, economic growth in the eurozone is expected to accelerate from 1.0% last year to 1.4% in 2025 and 1.5% in 2026, driven by fiscal stimulus measures and monetary policy easing.

Price trends

The Brent oil price fell in 2023-2024 to an average of USD 81.2 per barrel in 2024. In 2025 and 2026, the price of oil is expected to continue to fall to USD 69.7 per barrel and then USD 65.4 per barrel. This is because oil supply is expected to exceed demand in the short term, due to both slower growth in global demand and anticipated sharp increases in oil production in several non-OPEC countries, such as the United States and Canada.

Financial markets

The Federal Reserve Bank (Fed) began lowering its key interest rates in September 2024. As a result, after reaching a peak of around 5.25%–5.50%, the Fed's interest rates now stand at 3.50%–3.75%. The European Central Bank (ECB), meanwhile, began lowering its key interest rates in June 2024 after reaching a peak (for refinancing, marginal lending and deposit facility rates) of 4.50%, 4.75% and 4.00% on 20 September 2023. Since 11 June 2025, the ECB's interest rates have stood at 2.15%, 2.40% and 2.00% respectively.

Interest rates on 10-year government bonds (weighted average for euro area countries) reached 2.9% in 2024 and are expected to continue to rise slightly in 2025 to reach 3.1% and 3.2% in 2026. The short-term interest rate reached 3.6% in 2024 and is expected to reach 2.1% in 2025 and 1.9% in 2026.

Recent measures taken by the US government have caused a wave of uncertainty and economic instability, leading to a depreciation of the dollar. As a result, the euro-dollar exchange rate, which reached 108.2 dollars/100 euros in 2024, is estimated at 113.2 dollars/100 euros in 2025 and 118.7 dollars/100 euros in 2026.

Table 3: External developments

			2024	2025	2026
1	Short-term interest rate	(%, annual average)	3,5	2,1	1,8
2	Long-term interest rate	(%, annual average)	2,9	3,2	3,3
3	USD/EUR exchange rate	(annual average)	1,1	1,1	1,2
4	World real GDP (excluding EU)	(growth rate)	3,6	3,1	3,2
5	EU real GDP	(growth rate)	1,0	1,4	1,5
6	World import volumes, excluding EU	(growth rate)	3,2	2,7	2,2
7	Oil prices	(Brent, USD/barrel)	81,2	69,7	65,4

3 Budgetary developments

3.1 Outturn 2024

On 17 October, the INA published the final accounts for general government for 2024. The main budget figures are consistent with those used for 2024 in the preparation of the medium-term fiscal-structural plan, which was presented to the European Commission in March 2025.

The net borrowing of the general government reached 4.4% of GDP in 2024, compared with 4.0% a year earlier. In March 2025, a deficit of 4.6% was still expected for 2024.

The increase in the budget deficit is partly due to the rising deficits of the Communities and Regions. Their deficit increased by €2.5 billion to €9.5 billion due to the decrease in transfers received from the federal government. These had been temporarily inflated in 2023 by significant adjustment balances related to funds transferred under the special financing law following high inflation in 2022. The federal government's balance, on the other hand, improved by €2.5 billion.

Total expenditure for 2024 amounted to 54.1% of GDP (compared to 54.2% in the medium-term fiscal-structural plan). This represents an increase of 1.3 percentage points compared to 2023. Among these expenditures, there was an increase in interest charges, reflecting less favourable debt refinancing conditions.

Primary expenditure rose by 0.9 percentage points of GDP compared to 2023, reaching 51.8% of GDP (compared to 52.0% in the medium-term fiscal-structural plan). This is mainly due to increased public expenditure on pensions and healthcare resulting from an ageing population. The year 2024 was also marked by significant public investment at the federal level.

Revenue increased compared to the previous year (+0.9 percentage points of GDP), mainly due to changes in corporate income tax. Revenue represented 49.7% of GDP in 2024 (compared to 49.6% in the medium-term fiscal-structural plan).

Public debt-to-GDP ratio stood at 103.9% of GDP at the end of 2024, an increase of 1.5 percentage points compared to 2023.

3.2 Budgetary projections for 2025-2026 based on unchanged policy

The figures in Table 4 are derived, for Entity I, from the results under unchanged policy based on the Monitoring Committee's report of 22 September 2025. For the preparation of this draft budgetary plan, the defence expenditure attributable in ESA has been updated on the basis of the most recent information available. This allows for the correct accounting of deliveries of capital goods and ammunition. As a result of this adjustment, ESA-attributable defence expenditure for 2025 has been reduced to 1.4% of GDP. These methodological corrections have no impact on expenditure according to the NATO definition, which remains unchanged at 2% of GDP. The figures for Entity II are based on data provided by the Communities and Regions concerning,

among other things, the budgetary measures they have taken and the budgetary targets they have set themselves.

Table 4: Budgetary projections based on unchanged policy

			2024 (Levels)	2024	2025	2026
Revenue			bn EUR	% GDP	% GDP	% GDP
1	Taxes on production and imports	D.2	73,1	11,8	11,7	11,6
2	Current taxes on income, wealth, etc	D.5	104,5	16,8	16,8	16,7
3	Social contributions	D.61	94,2	15,2	15,2	15,2
4	Other current revenue	(P.11+P.12+P.131)+D.39+D.4+D.7	31,5	5,1	4,9	4,9
5	Capital taxes	D.91	4,3	0,7	0,7	0,6
6	Other capital revenue	D.92+D.99	0,7	0,1	0,2	0,2
7	Total revenue (= 1+2+3+4+5+6)	TR	308,2	49,7	49,4	49,2
Expenditure			bn EUR	% GDP	% GDP	% GDP
8	Compensation of employees	D.1	77,3	12,5	12,5	12,4
9	Intermediate consumption	P.2	27,0	4,4	4,1	4,5
10	Interest expenditure	D.41	13,7	2,2	2,3	2,6
11	Social benefits other than social transfers in kind	D.62	109,3	17,6	17,8	17,5
12	Social transfers in kind via market producers	D.632	49,2	7,9	8,1	8,1
13	Subsidies	D.3	21,8	3,5	3,6	3,4
14	Other current expenditure	D.29+(D.4-D.41)+D.5+D.7+D.8	11,7	1,9	2,0	2,1
15	Gross fixed capital formation	P.51	19,3	3,1	3,3	3,2
16	Of which: Nationally financed public investment		18,9	3,0	3,1	3,2
17	Capital transfers	D.9	5,6	0,9	0,9	0,9
18	Other capital expenditure	P.52+P.53+NP	0,4	0,1	0,0	0,0
19	Total expenditure (= 8+9+10+11+12+13+14+15+17+18)	TE	335,3	54,1	54,6	54,7
Balances			bn EUR	% GDP	% GDP	% GDP
20	Net lending/borrowing (= 7-19)	B.9	-27,1	-4,4	-5,2	-5,5
21	Primary balance (= 20+10)	B.9-D.41p	-13,3	-2,1	-2,8	-2,9

3.3 Revenue and expenditure projections after measures

Unlike Table 4, the table below takes into account the measures taken by the various governments in the context of the 2026 budget and, where applicable, the 2025 budget review.

According to estimates, the nominal deficit would amount to 5.2% in 2025. This starting point is slightly less favourable than that used in the medium-term fiscal-structural plan, which projected a deficit of 4.7% of GDP in 2025.

After taking the measures into account, the financing balance for 2026 improves from -5.5% of GDP to -4.9% of GDP.

Table 5: Budgetary developments

	Revenue	ESA code	2024 (Levels)	2024	2025	2026
			bn EUR	% GDP	% GDP	% GDP
1	Taxes on production and imports	D.2	73,1	11,8	11,7	11,8
2	Current taxes on income, wealth, etc	D.5	104,5	16,8	16,8	16,7
3	Social contributions	D.61	94,2	15,2	15,2	15,2
4	Other current revenue	(P.11+P.12+P.131)+D.39+D.4+D.7	31,5	5,1	4,9	5,0
5	Capital taxes	D.91	4,3	0,7	0,7	0,7
6	Other capital revenue	D.92+D.99	0,7	0,1	0,2	0,2
7	Total revenue (= 1+2+3+4+5+6)	TR	308,2	49,7	49,4	49,6
8	Of which: Transfers from the EU (accrued revenue, not cash)	D.7EU+D.9EU	1,6	0,3	0,3	0,3
9	Total revenue other than transfers from the EU (= 7-8)		306,6	49,4	49,1	49,3
10	p.m. Revenue measures (increments, excluding EU funded measures)		2,5	0,4	0,2	0,6
11	p.m. One-off revenue included in the projections (levels, excluding EU funded measures)		-0,9	-0,1	0,0	0,1
Expenditure			bn EUR	% GDP	% GDP	% GDP
12	Compensation of employees	D.1	77,3	12,5	12,5	12,4
13	Intermediate consumption	P.2	27,0	4,4	4,1	4,5
14	Interest expenditure	D.41	13,7	2,2	2,3	2,6
15	Social benefits other than social transfers in kind	D.62	109,3	17,6	17,8	17,4
16	Social transfers in kind via market producers	D.632	49,2	7,9	8,1	8,1
17	Subsidies	D.3	21,8	3,5	3,6	3,2
18	Other current expenditure	D.29+(D.4-D.41)+D.5+D.7+D.8	11,7	1,9	2,0	2,2
19	Gross fixed capital formation	P.51	19,3	3,1	3,3	3,3
20	Of which: Nationally financed public investment		18,9	3,0	3,1	3,2
21	Capital transfers	D.9	5,6	0,9	0,9	0,9
22	Other capital expenditure	P.52+P.53+NP	0,4	0,1	0,0	0,0
23	Total expenditure (= 12+13+14+15+16+17+18+19+21+22)	TE	335,3	54,1	54,6	54,5
24	Of which: Expenditure funded by transfers from the EU (= 8-10b)	D.7EU+D.9EU	1,6	0,3	0,3	0,3
25	Nationally financed expenditure (23-24)		333,7	53,8	54,2	54,2
26	p.m. National co-financing of programmes funded by the Union		0,6	0,1	0,1	0,1
27	p.m. Cyclical component of unemployment benefits		0,1	0,0	0,0	0,0
28	p.m. One-off expenditure included in the projections (levels, excluding EU funded measures)		0,0	0,0	0,0	0,0
29	Net nationally financed primary expenditure (before revenue measures) (= 25-26-27-28-14)		319,3	51,5	51,8	51,5
Net nationally financed primary expenditure			growth rate growth rate			
30	Net nationally financed primary expenditure growth	MTP table 1a, line 1			4,3	1,3
Balances			bn EUR	% GDP	% GDP	% GDP
31	Net lending/borrowing (= 7-23)	B.9	-27,1	-4,4	-5,2	-4,9
32	Primary balance (= 31+14)	B.9-D.41p	-13,3	-2,1	-2,8	-2,4
Cyclical adjustment			% GDP	% GDP	% GDP	% GDP
33	Structural balance			-4,1	-5,0	-4,7
34	Structural primary balance			-1,9	-2,6	-2,1
Debt			bn EUR	% GDP	% GDP	% GDP
35	Gross debt		644,4	103,9	107,3	110,1
36	Change in gross debt		27,3	1,5	3,4	2,8
37	Contributions to changes in gross debt					
38	Primary balance (= minus 32)			2,1	2,8	2,4
39	Snowball effect			-0,7	-1,3	-0,5
40	Interest expenditure (= 14)			2,2	2,3	2,6
41	Growth			-1,0	-1,2	-1,2
42	Inflation			-1,9	-2,4	-1,9
43	Stock-flow adjustment (= 36-38-39)			0,0	1,9	1,0
			%			
44	p.m. Implicit interest rate on debt (= 14 / DEBT(t-1))			2,2	2,2	2,4
Defence expenditure			bn EUR	% GDP		
45	Total defence expenditure	COFOG 2	7,9	1,3	1,4	1,7
46	Of which: Defence investment	COFOG 2, P.51g	1,9	0,3	0,5	0,4

Table 6 below lists the measures decided upon following the various budgetary conclaves at the level of the federal government and federated entities. Only the budgetary impact on 2026 is included in this table. Given that many measures will not yet be fully operational in 2026, their impact will continue to increase.

The figures in the last column indicate the impact on the respective categories of revenue and expenditure. This means that positive figures for revenue correspond to an increase in revenue and therefore an improvement in the financing balance (and vice versa for negative figures). For expenditure, a negative sign corresponds to a saving and therefore an improvement in the

financing balance (and vice versa for a positive sign). The 'total' line reflects the impact on the financing balance.

Table 6: Estimated impact of the measures decided upon

Description of the measure	Exp/ Rev	ESA	2026 Millions EUR
Entity I			
Harmonisation of VAT at 12%, eco-taxation, bank tax increase, parcel tax, insurance tax	Rev	Aggregated D.2	987
Indexation in centimes, securities tax, combating "corporatisation", strengthening the employment bonus, abolition of the tax deduction for copyright	Rev	Aggregated D.5	288
Special contribution for businesses, indexation in centimes, capping of social security contributions based on economic activity, Abolition of social security discount for collective working time reduction and HoReCa, gradual increase in employer contributions for new statutory staff members.	Rev	Aggregated D.61	24
Various measures relating to dormant assets, strengthening of energy standards (Fluxys contribution)	Rev	Aggregated P.11+P.12+P.131+D.39+D.4+D.7+D.9 (other than D.91)	725
Indexation in centimes, selective replacement ratio for public employers, social and tax fraud (commitment of 377 inspectors)	Exp	Aggregated D.1	-101
Miscellaneous	Exp	Aggregated P.2	122
Indexation in centimes, plan to reintegrate the long-term sick	Exp	Aggregated D.62, D632	-677
Strengthening of energy standards (subsidies to businesses), SME plan budget, Indexation in centimes, social economy (adapted work businesses)	Exp	Aggregated D.3	149
ESA contribution	Exp	Aggregated D.29 + D.4 (excluding D.41) + D.5 + D.7 + P.52 + P.53 + NP + D.8)	212

Funding for infrastructure to combat prison overcrowding, parcel tax, Recumo project	Exp	Aggregated P.51g	579
Total Entity I			1,741
Entity II			
Flanders			
Education; Investing in a prosperous Flanders	Exp	Aggregated measures D.1	114
Efficient Flemish government; postponement of expansion policy; efforts by its own government; other	Exp	Aggregated P.2	-441
Elimination of subsidies; reforms and one-off measures; deductibility of service vouchers; blue deal	Exp	Aggregated D.3	-912
Fiscal policy; other (open spaces, mobility and public works, digitisation of public administrations, etc.)	Exp	Aggregated D.29 + D.4 (excluding D.41) + D.5 + D.7 + P.52 + P.53 + NP + D.8)	169
Employment bonus; Well-being, Public health, Family; Investing in a welcoming Flanders	Exp	Aggregated D.62, D632	96
Mobility and public works; Additional investments	Exp	Aggregated P.51g	15
Environment	Exp	Aggregated D.9	-71
Kilometre-based charge; waste charge; registration rights – impeding possession + family-owned company; taxation	Rev	Aggregated D.2	174
Gradual introduction of inheritance rights; tax regularisation; taxation	Rev	Aggregated D.91	35
Flemish social protection - Healthcare premium	Rev	Aggregated D.61	135
Administrative Law Colleges Service - Appeals to the Council for permit disputes; adult education enrolment fees; public transport (De Lijn reform)	Rev	Aggregated P.11+P.12+P.131+D.39+D.7+D.9 (other than D.91)	136
Taxation	Rev	Aggregated D.5	55
Total			1,565

Walloon Region			
Reform of registration rights; Reform of road tax; Reform of gambling and betting tax; Wastewater tax	Rev	Aggregated measures D.2	-173
Nurseries; Engineering structures; TEN-T	Exp	Aggregated measures P.51g	82
Health prevention; Employment; Airports	Exp	Aggregated measures D.3	-199
Ministerial offices	Exp	Aggregated measures D.1	-6
Local authorities; municipalities; AVIQ	Exp	Aggregated measures D.29 + D.4 (excluding D.41) + D.5 + D.7 + P.52 + P.53 + NP + D.8)	-115
Public Service Wallonia; Public Administration Units	Exp	Aggregated measures P.2	-95
Total			160
French Community			
Non-indexation of certain allocations to public administration bodies; Reduction in ministerial office expenditure; Review of vocational education; Management of teaching staff transport costs; Equalisation of teachers' workloads; Limitation of the scheme regarding availability for the retirement age to two calendar years; Reform of referral to specialised education; End of deviations in the globalisation of the "total number of planned periods" system; Merger of budgets & reduction of secondments; Freeze on civil service recruitment	Exp	Aggregated measures D.1	-140
Reduction in the operating costs of several public administration bodies	Exp	Aggregated measures P.2	-13

Reduction in subsidies; Deferral of part of university refinancing; Non-indexation of school operating funds; Reform of differentiated framework; Increase in annual enrolment fees in ESARH (higher education institutions); Reorientation and reduction of subsidies for free meals and school supplies; Non-indexation; Rationalisation of FNRS (Fonds de la Recherche Scientifique) expenditure on subsidies to the cultural sector; Increase in enrolment fees in higher education institutions; Elimination of university refinancing; Rationalisation of ONE (Office de la Naissance et de l'Enfance) expenditure	Exp	Aggregated measures D.3	-85
Elimination of the subsidy for the capitalisation of the Liège University Hospital	Exp	Aggregated measures D.9	-3
Increase in additional registration fees for non-European foreign students	Rev	Aggregated measures P.11+P.12+P.131+D.39+D.7+D.9 (other than D.91)	7
Total			247
Total Entity II			1,972

3.4 Budget policy for 2026

3.4.1 Entity I

3.4.1.1 General policy

On 25 November 2025, the federal government reached an agreement on the 2026 budget and the 2027-2029 multiannual budget. This agreement includes the measures needed to improve the budgetary situation in a sustainable manner and to comply with the net expenditure trajectory set out in the medium-term budgetary-structural plan.

Like many Western countries, Belgium is facing an ageing population, which is causing a reversal of its age pyramid. Today, Belgium has three people of working age for every person over the age of 65. This figure could even fall to two in the coming years. In order to limit ageing costs in the medium and long term, a programme of structural reforms is being implemented.

Pension and labour market reforms

In order to safeguard the pension rights of current pensioners, as well as future beneficiaries, the federal government will continue the pension reform already initiated by harmonising the system for civil servants with that for employees and by better aligning the number of years actually worked with the pension amount. In addition, an extra effort will be expected from those entitled to higher pensions.. This effort will be achieved by capping the indexation of social benefits and the higher pensions.

The federal government will also take measures to increase the number of people at work and to raise the actual retirement age. This will involve making the labour market more flexible, including by reducing taxation on voluntary overtime, abolishing minimum working time rules and extending the student work and flexi-job schemes. Retirees will be able to keep their pensions while continuing to work if they wish, subject to a 30% liberating tax.

The federal government will encourage entrepreneurship by implementing an SME plan.

Strengthening security

The federal government is addressing uncertainties related to internal and external security. No savings will therefore be made in the departments responsible for security. The federal government will again devote 2% of GDP to defence this year. Significant investments will also be made in the area of internal security.

3.4.1.2 Fiscal policy

Savings

In order to stabilise and reduce the deficit and gross debt ratio, the federal government will implement a large number of savings measures.

The government plans to save more than €2.7 billion by 2029 through better controlling of public spending. This will be achieved, among other things, through structural efficiency gains in the healthcare sector.

In addition, specific measures will be taken to limit the replacement of civil servants, and an additional contribution will be levied on newly recruited civil servants to cover as much of the cost of pensions as possible.

The federal government will cap the indexation of benefits above €2,000 twice. The same applies to salaries above €4,000, where companies must transfer half of the savings resulting from incomplete indexation to the government. In addition, savings will be made in the political system: party funding will be limited and the salaries of ministers and members of parliament will not be indexed during this legislative term.

The government has also taken measures to limit the growth in the number of long-term sick people, of whom there are more than 500,000 in Belgium. To do this, all stakeholders will be made responsible, including workers, doctors, health insurance funds and employers. This will ultimately save nearly €1.9 billion by 2029. The primary aim of this measure is to combat abuse and pursue a more comprehensive activation policy.

Tax measures

Without increasing VAT rates across the board, the federal government will rebalance existing rates for goods and services such as the sale of takeaway meals, hotel stays, sports and leisure activities, and pesticides. The excise duty system for gas and electricity will also be reviewed. An increase in excise duties on diesel, petrol and domestic fuel oil is also planned.

As provided for in the February 2025 government agreement, the federal coalition also intends to make the strongest shoulders contribute. This will involve, among other things, an increase in the tax rate on securities accounts worth more than €1 million to 0.3%, the fight against 'corporatisation' and an additional contribution requested from banks.

Finally, the government plans to generate various sources of revenue.

In order to remain in line with the outlined net expenditure growth path, even after the end of the national escape clause, an additional set of measures amounting to €8.2 billion by 2029 has been decided. In addition, additional measures amounting to €1 billion have been taken to offset the increase in defence spending provided for in the above-mentioned defence plan. This brings the total additional effort to €9.2 billion by 2029. These measures are in addition to the consolidation plan decided upon when the federal government took office.

Table 7: Measures taken by the Belgian federal government for 2026 and the remainder of the legislative term

<i>In EUR billion</i>	2026	2027	2028	2029
Corrections and non-implementation of new policy	-0.1	0	0	2
KEY FUNDAMENTALS	2.6	3.8	6.2	8.0
1. Controlling public expenditure	0.4	0.7	2.1	2.7
2. Plan for the reintegration of long-term sick people	0.2	0.6	1.2	1.9
3. Consumption and eco-taxation	0.7	1.1	1.2	1.3
<i>Consumption: VAT harmonisation 12%</i>	<i>0.5</i>	<i>0.6</i>	<i>0.6</i>	<i>0.6</i>
<i>Eco-taxation</i>	<i>0.2</i>	<i>0.5</i>	<i>0.6</i>	<i>0.7</i>
4. Broadest shoulders and miscellaneous revenue	1.3	1.3	1.7	2.1
<i>Strongest shoulders</i>	<i>0.7</i>	<i>0.7</i>	<i>0.7</i>	<i>0.9</i>
<i>Fair and sustainable taxation</i>	<i>0.2</i>	<i>0.3</i>	<i>0.3</i>	<i>0.4</i>
<i>Miscellaneous revenue</i>	<i>0.5</i>	<i>0.3</i>	<i>0.7</i>	<i>0.8</i>
Plan for growth and social cohesion	-0.6	-0.4	-2.0	-0.9
<i>Social cohesion</i>	<i>-0.1</i>	<i>-0.3</i>	<i>-1.3</i>	<i>-0.8</i>
<i>Growth</i>	<i>-0.4</i>	<i>-0.1</i>	<i>-0.6</i>	<i>-0.1</i>
Implementation decided policy implementation and other	-0.1	0	0	0
Total impact	1.9	3.6	4.8	9.1

3.4.2 Entity II

3.4.2.1 Flanders

With its 2026 budget, the Flemish government is staying on course to achieve its goal of a balanced budget from 2027 onwards.¹ The 2024-2029 coalition agreement emphasises sound and sustainable public finances. Indeed, a healthy Flemish budget is essential to maintain prosperity in a changing environment and to cope with unexpected crises.

To stay on track, the Flemish government is making an extra effort in the 2026 initial budget, in the form of a package of measures worth €1.5 billion, in addition to those envisaged in the coalition agreement.

Flanders is striving to reduce public spending by curbing expenditure and subsidies. In addition to the efforts provided for in the coalition agreement, €350 million in additional measures have been planned, focusing more on core tasks and administrative efficiency. In addition, €370 million in extension policy is being carried over and more than €450 million is being spent on other reforms and one-off measures.

Flanders is also taking measures on the revenue side. The increase in the kilometre charge for trucks will generate significant additional revenue. The increase in tariffs will bring in €90 million. Regarding the inheritance tax, Flanders is initially only reducing the highest rates for surviving partners and single people without children. It is also increasing the 'zorgpremie', the annual contribution to Flemish Social Protection for everyone living in Flanders. In total, the measure will raise 135 million euros.

Considerable efforts have been made to finalise the 2026 budget, but the work is not yet complete. The preparation of the 2027 budget will also be a challenge.

3.4.2.2 Walloon Region

The Walloon Government's budgetary policy for the next four years is both responsible and ambitious. It is based on strategic priorities to restore the balance of public finances while supporting the economic and social development of Wallonia.

Fiscal consolidation concerns all public actors, with a view to optimising expenditure without compromising essential policies. Efficiency comes first: every euro spent must be spent with maximum impact and rationality.

The Walloon regional government also reaffirms its commitment under the Recovery Plan, focusing investment on projects with high added value for the economy and the well-being of citizens. In terms of taxation, the government has already carried out an ambitious reform of registration rights, whose positive effects on access to property ownership are already apparent.

¹ The construction costs for the main works on the Oosterweel link are excluded from the break-even target.

Execution of the 2025 budget

In drawing up its 2025 budget, the Walloon Region has made a structural effort of €268 million, broken down as follows:

- a reduction in the operating costs of the SPW (Service Public de Wallonie) and UAPs (Unités d'Administration Publique) of €77 million;
- a reduction in economic aid of €60 million;
- rationalisation of facultative subsidies (€60 million);
- partial freeze on indexation at local authority level, amounting to €29 million.

Total expenditure amounts to €22.03 billion, revenue to €21.80 billion, giving a consolidated net balance of -€3.4 billion. After adjustment in accordance with ESA 2010 standards, the financing balance stands at -€2.3 billion, which is equivalent to the level in 2024.

The revenue side is marked by a major tax reform: the reduction of the registration rights to 3%. This reform, which is budget-neutral over time, will result in a €250 million decrease in revenue in 2025. In addition, the new application of the Special Financing Act will result in a 10% reduction in the amount of the regional transitional mechanism, representing an additional loss of €62 million from 2025 onwards.

On the expenditure side, additional resources have been allocated to respond to the bluetongue crisis, strengthen the 'Société wallonne du Crédit social', compensate municipalities under the Marshall Plan, and clear outstanding commercial invoices. The budget allocated to public health prevention has also been doubled to €80 million.

In terms of investment, the Government is maintaining its commitments to economic recovery, with nearly €1.2 billion in payments planned for 2025. In addition, new funds have been allocated to finance engineering structures and continue the TEN-T project.

As regards execution in 2025, the implementation rate of commitment appropriations on 30 September 2025 was generally lower than for the same period in 2024, namely 80.59 % in 2025 compared to 82.28 % in 2024. The 2025 rate remains higher than the 2022-2024 average rate of 74.27%. The budget for commitment appropriations increased from €21,085,206 thousand in 2024 to €21,295,361 thousand in 2025 (+€210,155 thousand).

On the other hand, the implementation rate for liquidation appropriations is significantly better at the end of the third quarter of 2025 compared to the third quarter of 2024, at 72.66% in 2025 compared to 68.37% in 2024. The average rate for 2022-2024 is 67.08%. The budget for liquidation appropriations was €21,092,737 thousand in 2024 and stands at €22,083,546 thousand in 2025 (+€990,809 thousand).

Decisions taken in the context of the 2026 budget

The Walloon Government has prepared a budget for 2026 that is fully in line with the consolidation path set out in the government agreement. Despite an uncertain economic climate, this ambitious yet realistic path is being maintained. Structural savings for 2026 amount to €270 million, broken down as follows:

- €18.1 million on the operating costs of administrations and public administration units (UAP);
- €100.2 million in the area of employment and training;
- €65.2 million through a review of local authority support;
- €28.3 million for the missions of the AVIQ (Agency for Quality of Life) and a review of certain aid mechanisms;
- €33.6 million in taxation;
- €17 million on the economic sector;
- €8 million through the rationalisation of various facultative subsidies.

This budget also anticipates future financial years by preparing the framework for the 2027, 2028 and 2029 budgets.

In the area of taxation, several adjustments will come into force in 2026: changes to taxes on gambling and betting, industrial wastewater tax and the tariff for the kilometre charge. These measures will increase revenue over a multiannual period.

The Walloon Government is also continuing to refocus its employment policy on sustainable (re)employment, prioritising stable, quality jobs over occupational schemes. Specific resources are being allocated to a major reform of local employment actors, and the socio-professional integration landscape will be simplified in order to make the jobseeker's journey clearer and more efficient.

Concerning childcare, the goal of creating more than 5,000 places has been confirmed, with an additional budget of €4 million to support the next development plan.

Total expenditure is estimated at €21.3 billion, with revenue of €18.5 billion, giving a consolidated gross balance of -€2.8 billion. After adjustment in line with ESA 2010 standards, the financing balance stands at -€2 billion, representing an improvement of nearly €300 million compared to 2025.

3.4.2.3 Brussels-Capital Region

During the last legislative term, the Brussels-Capital Region faced three crises, each with a significant impact on the economy and public finances. The COVID pandemic was followed by Russia's invasion of Ukraine, which put further upward pressure on already rising inflation, dampened growth prospects and caused an influx of refugees. Finally, the disruption of gas supplies also triggered an energy crisis.

Following the budgetary impact of these crises in recent years, the Brussels-Capital Region has not had a fully functioning government since the June 2024 elections. The government is currently in 'caretaker mode', which limits its prerogatives and prevents it from exercising all of its political competences, including financial and budgetary ones. The outgoing government's only obligation is to ensure the continuity of public services.

In this context, Belgium, and therefore the Brussels-Capital Region, is applying the provisional twelfths system. This mechanism requires quarterly expenditure to be limited to a quarter of the last approved budget. In this case, this is the initial budget for 2024.

Given the deficit in this latest budget and in order to ensure fiscal and financial continuity, a series of precautionary measures totalling €284 million was activated at the beginning of June 2025:

- a 15% reduction (€29 million) in facultative subsidies;
- a freeze of €255 million, corresponding to the under-utilisation identified between the current budget and implementation in 2024.

These measures are part of the effort to reduce the additional deficit to €1.2 billion in 2025, a target set out in the multiannual trajectory.

In addition, a measure to reduce the regional wage bill was already taken at the end of 2023: the introduction of a moratorium on all staff movements with a budgetary impact. In addition to the precautionary measures, the aim is to limit the increase in wage costs in the region. Given the difficult budgetary conditions, the moratorium has been extended until the end of 2025.

3.4.2.4 French Community

The Government of the French Community has prepared a budget for 2026, with forecasts for 2027, 2028 and 2029, which is in line with the consolidation path set out in the government agreement and will enable a return to a deficit of €1.2 billion by 2029.

The main structural saving measures taken during the preparation of the 2026 budget that have a significant budgetary impact for 2026 are:

- Limiting the remuneration of all teaching staff on sick leave (except for serious illnesses, which are remunerated at 100%) or who work part-time for medical reasons to 60% of their last salary (€14.9 million);
- Increasing the workload denominator for secondary school teachers from 20 to 22 periods in order to align their workload with that of lower secondary school teachers (€35.5 million);
- Freezing the operating budgets of schools in all education networks in the French Community and adult education (€9.4 million);
- Reducing the operating resources of schools with differentiated support. However, resources for differentiated support remain unchanged (€9 million);
- The reorientation and reduction of subsidies for free school supplies by integrating the funding into the operating subsidies for primary schools (€8.5 million);

- The introduction of progressive tuition fees in higher education institutions and an increase in registration fees for those with the highest incomes (€9.1 million);
- Reducing ONE (Office de la naissance et de l'enfance) expenditure by reducing IT funding and non-indexation of subsidies to operators in sectors covered by ONE (€10.8 million);
- Optimising the organisation of the administration, in particular by modifying the policy on recruitment and replacements (€7.6 million).

Point to note: most of the measures in compulsory education and higher education are structural measures that will only have a full-year effect from 2027 onwards.

In addition, the government's decision to amend the regulations concerning the subsidy standard for childcare facilities from 1.5 FTE per 7 places so that this becomes a target to be achieved over time depending on available budgets rather than a binding standard will avoid additional expenditure of €106 million from 2026 onwards.

For the French Community, total expenditure for the 2026 financial year is therefore estimated at €15.3 billion, with revenue of €13.6 billion, giving a consolidated gross balance of -€1.7 billion. After adjustment in line with ESA 2010 standards, the financing balance stands at -€1.6 billion but is expected to recover to -€1.2 billion in 2029, assuming no policy changes.

3.4.2.5 German-speaking Community

Numerous macroeconomic uncertainties, inflation and global economic growth are weighing on the German-speaking Community's revenues. In addition, the German-speaking Community will have to contribute to the Belgian federal government's budgetary efforts.

In order to achieve its savings targets, the German-speaking Community has set itself the goal of not exceeding 5% growth in net primary expenditure between 2025 and 2029.

As part of an initial package of savings measures, the German-speaking Community has set itself the target of saving €15 million in current expenditure in 2025-2026. At least €4.5 million will be saved annually on the personnel costs of the public services of the German-speaking Community. Ministerial offices will also be affected. In June 2025, a second package of savings worth €8 million was approved by the Parliament.

As a reminder, before the outbreak of the COVID crisis, the German-speaking Community had presented structurally balanced budgets. The 2018, 2019 and 2020 budgets were in balance according to ESA standards. The German-speaking Community's 2020 budget even showed a surplus of more than €20 million.

In 2020, due to the crises, the balanced budget was abandoned. New debts were incurred and aid packages worth around €300 million were financed.

In accordance with the budgetary trajectory approved by Parliament, the German-speaking Community will be able to meet all the requirements of European accounting standards from 2029 onwards, refrain from taking on new debt and repay existing debt.

The German-speaking Community is pursuing a prudent debt policy with annual repayments of around 15% of its annual revenue excluding loans.

The ESA deficit for 2025 stands at -€93 million and that for 2026 at -€117 million, excluding investment neutralisations of €92 million in 2025 and €116 million in 2026.

4 Link between fiscal policy and country-specific recommendations

As part of the European Semester, the Council approved country-specific recommendations on 8 July 2025 that provide Member States with guidance on how to comply with the European Union's priorities for the coming years. This chapter explores the link between the fiscal policies of the federal government, the Flemish government and the Walloon government, and the specific recommendations for Belgium.

4.1 Entity I

An overview of the implementation of the reforms and investments to which Belgium has committed itself with a view to extending the adjustment period is provided in Chapter 5. Below, consideration is given to the link between the decisions taken in the context of the preparation of the 2026 budget (and the multiannual plan until 2029) and the country-specific recommendations approved by the Council on 8 July 2025.

CSR 1: Increase defence spending and fiscal policy

With its decision of 11 April 2025, the federal government took the necessary measures to comply with the NATO norm from 2025 onwards and to significantly increase defence spending to 2% of GDP, in accordance with the NATO definition. This level will also be maintained in the coming years. In order to partially limit the budgetary impact of this decision, recourse was made to the national escape clause, which was activated by the Council decision of 8 July 2025. A maximum amount of €8.34 billion was also earmarked for SAFE loans, in accordance with the decision taken by the European Commission on 9 September 2025.

Since taking office, the government has made fiscal consolidation its main political priority. This objective must be considered in conjunction with an ambitious reform programme aimed at ensuring the long-term sustainability of the welfare state, but also aimed at increasing the employment rate.

The preparation of the 2026 budget and the multi-annual budget plan up to 2029 was the federal government's first complete budgetary exercise following the adoption of the medium-term fiscal-structural plan. Specifically, for Entity I, net expenditure growth was assumed to be consistent with the distribution key recommended by the High Council of Finance (Section public sector borrowing requirement) in its opinion of April 2025 on the distribution of the effort across the different entities. In order to remain in line with the planned net expenditure growth path even after the removal of the national escape clause, an additional set of measures amounting to €8.2 billion by 2029 has been decided. In addition, further measures amounting to €1 billion have been taken to offset the increase in defence expenditure planned in the above-mentioned defence plan. This brings the total additional effort to €9.2 billion by 2029.

CSR 2: implementation of the national recovery and resilience plan and cohesion policy programmes

The Belgian Recovery and Resilience Plan (RRP) was approved at national level at the end of April 2021 and validated by the Council of the European Union on 13 July 2021. Since then, several revisions have been made to correct material errors and/or take account of objective circumstances, in accordance with Article 21 of Regulation (EU) 2021/241.

The eighth version of the Belgian Recovery and Resilience Plan, approved in November 2025, resulted in a thorough simplification and revision of the plan. It incorporates the conclusions of an in-depth risk assessment in order to take into account the upcoming deadline for the final payment request in September 2026 and to reduce the administrative burden.

The Federal Council of Ministers of 12/12/2025 approved a fourth request for partial payment, which was then validated by the Consultative Committee on 15/12/2025, after which the fourth request for partial payment was officially submitted on Thursday 18/12/2025.

CSR 3: entrepreneurial climate and innovation

See Chapter 5.

CSR 4: climate, water quality and energy

As part of the preparation of the 2026 budget, a tax shift focused on consumption and energy was implemented. In this context, in line with the country-specific recommendations, a number of measures were taken to increase the tax on fossil fuels and reduce it for electricity.

An increase in excise duties on natural gas and domestic heating oil has been decided.

Special excise duties on diesel and petrol will be increased and simplified as much as possible. The boarding tax for air travel will also be increased in 2027.

Excise duties on electricity will be reduced for non-professional use. In concrete terms, the current tariff structure will be adjusted and the energy contribution will be abolished.

Finally, a number of other measures are being taken as part of the 2026 budget, such as an increase in VAT on pesticides, a reduction in VAT on heat pumps and an increase in the deduction for green investments.

CSR 5: Labour market and education

The limitation of unemployment benefits in time announced by the government when it took office has been effectively implemented and will be phased in during the first half of 2026.

As part of the budget discussions, an agreement was reached on the fourth wave of measures aimed at curbing, or even halting, the increase in the number of long-term sick people and

reducing this number. A set of measures has been taken to make the various actors (employees, doctors, health insurance funds, employers) more accountable. By 2029, these measures will save €1.9 billion.

In order to ensure that as many people as possible are employed, barriers to entering the labour market will be reduced. Among other things, the tax on voluntary overtime will be reduced and a number of rules concerning minimum working time will be changed. Students will have the opportunity to earn more. The scope of flexijobs will be generalised and the ceiling will be raised from €12,000 to €18,000. This amount will now be indexed.

It will be more attractive for pensioners to remain active after retirement. From 2027, they will be able to continue working while retaining their pension, subject to a 30% liberating tax.

Thanks to these measures, the federal government is providing more oxygen into the labour market in times of shortage.

Anyone who wishes to work, in whatever form, is encouraged to do so.

Encouraging work is one of the federal government's core principles. This involves not only labour market reforms, but also tax system reforms. By 2030, workers will be able to count on an additional €1,000 net per year.

4.2 Entity II

4.2.1 Flanders

CSR 1: budgetary policy

In 2026, the Flemish Government will continue to work towards sound public finances and remain on track to achieve its budgetary objective of a structural budget balance from 2027 onwards. To this end, it is making a significant effort with a package of measures worth €1.5 billion.

As part of the strengthening of defence and safety preparedness, an additional investment of €1 million in the effective control of strategic goods will be planned in 2026. In 2026, the Flemish Defence Plan will be further translated into concrete actions and the multi-annual stimulus programme for security and defence will be launched.

Flanders remains committed to making long-term care more cost-effective without compromising affordability. As part of the 2026 budget, the roll-out of new initiatives in the field of elderly care and home care will be slowed down, ensuring a more solid foundation. Reforms focused on home care and respite care promoting a community-based approach are also planned.

CSR 2: implementation of the National Recovery and Resilience Plan and cohesion policy programmes

Flanders is committed to completing the Flemish reforms and investments included in the National Recovery and Resilience Plan on time and, in this context, plans to submit the last two payment requests. The Flemish ERDF programme for 2021-2027 is in full swing. By the end of 2025, 90% of the planned ERDF budget had already been committed. The budget is expected to be almost fully absorbed in 2026. An amount of €2 million is planned for Interreg 2026.

CSR 3: business climate and innovation

Through the “Regelrecht” project, Flanders is committed to putting in place efficient procedures for businesses, speeding up the granting of permits and strengthening the electronic portal for entrepreneurs as a central digital access point to Flemish public services. In 2026, Flanders will add new features to this electronic portal.

CSR 4: climate, water quality and energy

Flanders is reducing its dependence on fossil fuels through a €15 million investment in public buildings. As part of the “Klimaat sprong voor de Industrie” programme, several actions will be launched in 2026 in accordance with the new 2026-2030 programme note. Based on the planned evaluation, the Flemish government will take a decision on the further implementation and execution of the *Contracts for Difference* tool.

With regard to transport, the kilometre charge for trucks will be increased. In accordance with the revised European toll directive, CO2 emissions will be included in the pricing.

In addition, thanks to an integrated multiannual investment programme (Geïntegreerd Investeringsprogramma (GIP)), investments will be made in robust and sustainable infrastructure and asset management, in a *modal shift* towards sustainable passenger transport, zero- or low-emission transport and public transport.

To achieve the goal of increasing the share of sustainable travel to half of all journeys by 2030, cycling will be given maximum priority with significant investments in cycling infrastructure.

Attractive public transport is an essential cornerstone of *the modal shift*. For this reason, significant investments are being made in public transport by the Flemish transport company “De Lijn” and in customised transport. The focus is on a number of major infrastructure projects and investments in the tram and bus fleet. The greening of buses will be launched by means of an additional investment allocation, so that by 2035, the entire “De Lijn” fleet will be zero-emission.

Finally, the draft budget focuses on a *modal shift* towards sustainable goods transport by making greater use of low-emission transport, such as rail and inland waterways, for logistics flows to and from Flemish ports.

Funding for the Blue Deal and additional investments in open spaces via local authorities will strengthen green and blue infrastructure, which acts as a natural buffer and filter for water. This

is essential both for improving water quality and for increasing society's climate resilience to extreme weather conditions such as drought and flooding. Flanders is investing more in the nitrogen approach. The introduction of mandatory buffer strips will finalise the new fertiliser policy, reducing nitrate pressure on the water system.

CSR 5: labour market and education

Flanders continues to take various measures to achieve the target of an 80% employment rate.

In 2026, the Flemish government is recommitting to the job bonus and the job bonus PLUS, financial incentives that bridge the gap between work and inactivity, providing additional support of up to €650 per year to job seekers, inactive people, low-income employees and the self-employed to enter or remain in the labour market. A total of €228 million is earmarked for the job bonus (PLUS) in 2026.

At the same time, the link with the labour market is being strengthened through targeted investments in ICT and STEM. The STEM 2030 agenda aims to strengthen STEM knowledge and increase the influx into STEM courses and professions. The Digiplan anchors digital skills in learning objectives and provides schools and teachers with the necessary infrastructure, equipment and professional development. The modernisation of secondary education and the strengthening of dual learning create a closer link with the labour market and reinforce the practical orientation of education.

In addition, the teaching profession is being strengthened. Flanders is investing in an induction year to better support and retain new teachers in the profession. The recognition of prior experience and the attraction of second-career teachers will broaden the intake, while the new Master's degree in primary education and reforms to initial teacher training will contribute to quality and professionalism. In addition, initiatives such as learning support and workload reduction measures ensure sustainable careers.

Flanders is also committed to improving performance and equal opportunities in education. Lowering school fees and investing more in technical, art and vocational secondary education reduces financial and social barriers while enhancing the status of practical courses. Strengthening Dutch language skills in nursery, primary and adult education, with the required level raised to B1, contributes to better academic results and increases the chances of young people and newcomers on the labour market. In addition, co-financing healthy food in primary education ensures an inclusive learning environment where every pupil can perform to the best of their ability.

4.2.2 Walloon Region

Given the institutional division of powers in Belgium, the Walloon Region responds to the five main recommendations addressed to our country as follows:

CSR 1: fiscal policy

With to the aim of returning to a balanced budget by 2029, the Walloon Government's budgetary trajectory is consistent with debt sustainability and contributes, at its level, to compliance with Belgium's net primary expenditure growth standard.

CSR 2: implementation of the national recovery and resilience plan and cohesion policy programmes

Wallonia is continuing to implement the recovery and resilience plan (including REPowerEU), with nearly €417 million included in the initial 2026 budget.

Cohesion policy, through the European Structural Funds (ERDF-CF, ESF, Interreg), enables structural investments to be made. For the 2021-2027 programming period, it represents more than €3 billion, co-financed by the European Union, Wallonia, the French Community, the French Community Commission and the beneficiaries.

The ERDF envelope for 2026-2027 was allocated in 2025, following the mid-term review and modernisation of cohesion policy in September 2025. Flexibility is set at €86,876,226, earmarked for priorities such as research, training, sustainable housing and defence.

CSR 3: entrepreneurial climate for businesses and innovation

On 27 March 2025, the Walloon Government, together with the French Community, approved the Administrative Simplification Shock strategy, based on three pillars:

- A cultural shift within the administration;
- Increased modernisation and digitalisation;
- Concrete and rapid measures geared towards users.

In 2026, efforts will be stepped up to support SMEs, micro-enterprises, the self-employed and craftspeople: simplification of procedures, acceleration of digitalisation, preservation of financing solutions via Walloon Invests and reform of business vouchers and the economic support landscape.

As part of the territorial redeployment of the economy and industry in Wallonia and the securing of Projects of Strategic Interest, a draft decree proposes to expand the list of strategic projects covered by a government permit as defined in Article D.IV.25 of the Territorial Development Code, which sets out the list of acts and works for which there are compelling reasons of general interest and which, as a result, are covered by government permits.

As these are high-stakes permits, they are often subject to administrative appeals and are ultimately dealt with by the Government (the Minister for Territorial Development) after a lengthy administrative process. Government permits make it possible to bypass the decision of the court of first instance, which speeds up the process.

CSR 4: climate, water quality and energy

Controlling the cost of the energy transition remains a priority. Three projects launched in 2025 are continuing in 2026:

- Establishment of a single distribution network operator (GRDU: Gestionnaire de réseaux de distribution unique);
- Development of an intersectoral strategy;
- Creation of a new support mechanism for renewable energy.

A strategy covering all energy vectors (electricity, gas, heat, hydrogen, CO₂) will guide Wallonia towards carbon neutrality in 2050, with a permanent energy forum.

Work on CO₂ transport will be finalised in 2026, with optimisation of interconnections with Flanders and neighbouring countries.

For businesses, support mechanisms for decarbonisation will be simplified and centralised (proximity between EasyGreen and WalEnergie, collaboration with Wallonie Entreprendre).

Reform of access to the electricity network remains essential for electrification, the integration of renewables and the optimisation of consumption. Several measures have been taken in this direction since 2025: the establishment of a legal basis for flexible connections and the creation of two task forces ("access réseau" and "puissance et flexibilité énergétique").

Carbon agreements are continuing with increased support. The comprehensive renovation support mechanism, expected in October 2026, will include energy poverty and will be based on a loan/grant system, a mandatory renovation schedule and widespread support.

To increase the attractiveness of public transport, the Government will work with the Wallonia Transport Operators to improve the customer experience throughout the journey, and to link this to the integration and simplification of rates and tickets. The programme to electrify and decarbonise the fleet in the broadest sense will be continued, in compliance with European regulations.

In terms of rail transport, the overall objective will be to promote rail as the main alternative to cars and to develop synergies between the Belgian Railway Company and the Wallonia Transport Operators as effectively as possible.

In addition, the Government will ensure the safety and improvement of pedestrian and cycle paths with the aim of promoting short, everyday journeys by active modes of transport.

CSR 5: labour market and education

In parallel with federal reforms focusing in particular on limiting unemployment over time, the Government has undertaken a thorough reform of Forem and the support and monitoring of job seekers. In 2026, the Government will also continue to reform the employment landscape for the benefit of beneficiaries, in particular by encouraging and stimulating the rationalisation of all actors involved in socio-professional integration in Wallonia, with a view to making the process more transparent for job seekers, ensuring consistency in the actions of these actors in their employment areas, ensuring perfect coordination with the actions of FOREM's regional services and ensuring the efficient use of public resources.

Training and skills development remain central to the Government's objectives in support of favourable employment prospects. The Government has structured the reforms to be carried out into 13 key areas of work, which will be implemented in sequence to ensure their sustainability. It will also draw on existing mechanisms such as Wallonie Compétences d'Avenir, OTLAV (lifelong guidance mechanism), les Carrefours et Cités des Métiers, the network of skills centres, etc. - and existing structures, including Forem, IFAPME (Walloon Institute for Work-Based Training and the Self-Employed and Small and Medium-Sized Enterprises) and organisations resulting from cooperation agreements.

5 Set of reforms and investments underpinning a seven-year extension of the adjustment period

To justify extending the adjustment period set out in the national fiscal-structural plan from four to seven years, the federal government has committed to implementing a series of six structural reforms in line with the European Commission's common priorities, as provided for in Article 14 of Regulation (EU) 2024/1263. These six reforms were approved by the Council in its recommendation of 20 June 2025.

They consist of:

- A reform in the area of pensions aimed at improving the budgetary sustainability of the pension system;
- A reform in the area of public expenditure aimed at completing spending reviews to improve the efficiency and quality of public expenditure;
- A reform in the area of the labour market;
- A reform in the area of taxation aimed at reducing tax barriers to labour, improving competitiveness and strengthening investment;
- Reform in the area of competitiveness and the business environment;
- Reform in the area of budgetary coordination.

The chapter below provides an overview of the progress made in implementing the reforms that led to the extension of the adjustment period. A more comprehensive and detailed report will be included in the annual progress report to be submitted by the end of April 2026 at the latest.

Pension reform

As part of its medium-term fiscal-structural plan, the federal government has committed to reforming the pension system by strengthening the link between actual work and the accrual of pension rights, thereby encouraging working longer and improving the financial sustainability of the system.

To this end, a first series of legislative texts relating to the reform was approved by the Council of Ministers on 18 July 2025.

These preliminary drafts provide for the following measures:

- the abolition of preferential retirement ages for military personnel and driving personnel at HR-Rail;
- the extension of the reference period for calculating civil servants' pensions;
- the abolition of preferential bonuses and increasing coefficients;
- change to the eligibility criteria for civil servants' pensions in respect of periods of leave, non-operational periods, career breaks and other forms of absence;
- the abolition of biennial adaption of civil servants pensions;

- harmonisation of the career requirements for early retirement in the three pension schemes;
- the introduction, in the three pension schemes, of a new additional early retirement option following a long effective working, from the age of 60 and 42 years of service, where each year of service counts as at least 234 days of actual work;
- the introduction, in the three pension schemes, of a reduction or increase in the amount of the pension when it is granted before or after the legal retirement age (bonus/malus);
- the abolition of the pension for physical incapacity;
- the introduction of a working condition in the pension schemes for civil servants, employees and self-employed persons.

A supplementary preliminary draft aimed at improving the assimilation of periods of inactivity due to occupational accidents or illnesses was also approved by the Council of Ministers on the same date.

Discussions with the social partners have since been concluded and the legislative texts were approved at second reading by the Council of Ministers on 12 December 2025. The legislative texts were then submitted to the Council of State, a necessary step before they are tabled in Parliament in early 2026.

Labour market reform

The draft programme law on the reform of unemployment regulations was adopted by the Chamber on 18 July 2025 and the law was published in the Belgian Official Gazette on 29 July 2025.

This reform limits the right to full unemployment benefits to a maximum of 24 months. This right includes a basic period of 12 months, to which up to 12 additional months may be added depending on the beneficiary's employment history. It also limits the right to integration allowances to a maximum of one year.

The transitional measures began on 1 July 2025 (first wave of entitlement ending on 1 January 2026), but the new regulations will not come into effect until 1 March 2026.

In addition, still in connection with the labour market reform, the package of measures aimed at limiting the growth in the number of long-term sick people in the future and ensuring their return to work was approved by the Council of Ministers on 26 September 2025. This comprehensive plan is based on increased accountability for the five stakeholders involved: employers, workers, doctors (general practitioners, company doctor and medical advisers), mutual insurance companies and regional employment services.

The draft law implementing these measures (draft law implementing a reinforced return-to-work policy in the event of incapacity for work, parliamentary document 1177) was approved by the Chamber on 16 December 2025. The measures will come into force on 1 January 2026.

As part of the preparation of the 2026 budget, a fourth wave of measures aimed at limiting the growth of expenditure related to long-term illness was adopted. These measures are expected to reduce expenditure by €1.9 billion by 2029 compared to a scenario with no policy change.

On 12 December 2025, the Council of Ministers approved a preliminary draft law aimed at modernising labour law. This draft law aims to soften the rules on the publication of working hours, abolish the minimum weekly working time, promote the employability of redundant workers, soften the regulations on night work, limit the maximum notice period and simplify the rules on temporary work.

Tax reform

The federal government has committed to reforming the income tax code to make work as rewarding as possible.

The legislation implementing the personal income tax reform was approved at first reading by the Council of Ministers on 18 July 2025.

They include the following measures:

- an increase in the personal tax allowance;
- a reform of higher personal tax allowances and of income and family taxation;
- adjustments to the tax reduction for replacement income;
- adjustments to the marital quotient;
- the principle of the taxability of the (equivalent) integration income;
- overtime;
- a technical adjustment concerning the remuneration of young athletes;
- a 33% tax rate for pensioners who continue to work;
- a 'de minimis' rule for Article 90, first paragraph, 1°, Income tax code 1992;
- the introduction of an abatement for entrepreneurs, for self-employed persons without a company;
- the abolition of the tax increase for insufficient advance payments for self-employed persons without a company;
- copyright;
- a reduction in the special contribution for social security;
- adjustments to the employment bonus;
- other technical modifications.

A preliminary draft law on this subject was approved at second reading by the Council of Ministers on 12 December 2025 after consultation with the Council of State. The same Council of Ministers approved a preliminary draft law providing for the introduction of a general solidarity contribution on capital gains realised on financial assets. This measure is part of the process of consolidating public finances, which requires a contribution from those with the broadest shoulders.

Entrepreneurial climate and regulation

With a view to preparing concrete measures for administrative simplification, contributions were gathered from the ministers concerned and federal public services, as well as from SMEs, industry and businesses in all sectors.

The proposed measures have been critically evaluated and consolidated.

For the industrial sector, a list of 25 measures has been validated by sectoral associations. This list will be supplemented by measures concerning other sectors and has been finalised as part of the Federal Action Plan for Administrative Simplification, which has been approved by the Council of Ministers.

The ultimate goal of this initiative is to implement important projects that can reduce the administrative burden on entrepreneurs, citizens, associations and the commercial sector.

The SME plan, which includes more than 80 concrete measures, has also been approved and should give entrepreneurs the leeway they need to grow and create jobs.

Budgetary coordination

Several discussions took place between the federal and federated entities with a view to establishing a new framework for effective budgetary coordination. In November and December, discussions were intensified at the political level.

On 12 December 2025, the Council of Ministers approved a draft royal decree concerning the reform of the High Council of Finance, Public sector borrowing requirement section, in order to professionalise its functioning and strengthen support for the performance of its tasks. As part of the budget preparation process, additional appropriations are planned for a permanent secretariat at the Federal Planning Bureau. This draft royal decree will be sent to the federated entities and the Council of State for their opinion.

Spending reviews

On 18 July 2025, the Council of Ministers approved the strategy for the next spending reviews.

The spending reviews for 2026 are currently being prepared. They will concern the organisation of closed centres (Asylum and Migration), subsidies for fossil fuels and the exemption from withholding tax for research and development, overtime and night or shift work.

Appendices

Appendix 1: RRF Grants

	2020	2021	2022	2023	2024	2025	2026
Revenue from RRF grants	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
1 RRF grants as included in the revenue projections		0,060	0,137	0,119	0,123	0,200	0,185
2 Cash disbursements of RRF grants from EU		0,152	0,000	0,000	0,120	0,230	0,315
Expenditure financed by RRF grants	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
3 Total current expenditure		0,027	0,046	0,046	0,075	0,067	0,078
4 Gross fixed capital formation		0,023	0,034	0,032	0,026	0,070	0,057
5 Other capital expenditure	0,002	0,010	0,056	0,042	0,023	0,004	0,003
6 Total capital expenditure (= 4+5)	0,002	0,033	0,090	0,074	0,048	0,133	0,107
Other costs financed by RRF grants	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
7 Reduction in tax revenue							
8 Other costs with impact on revenue							
9 Financial transactions							

Appendix 2: RRF Loans

	2020	2021	2022	2023	2024	2025	2026
Revenue from RRF loans	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
1 Disbursements of RRF loans from EU		0,000	0,000	0,001	0,002	0,004	0,031
2 Repayment of RRF loans to EU		0,000	0,000	0,000	0,007	0,009	0,021
Expenditure financed by RRF loans	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
3 Total current expenditure		0,000	0,000	0,000	0,001	0,002	0,030
4 Gross fixed capital formation		0,000	0,000	0,000	0,001	0,001	0,002
5 Other capital expenditure		0,000	0,000	0,000	0,000	0,000	0,000
6 Total capital expenditure (4+5)	0	0,000	0,000	0,000	0,000	0,001	0,002
Other costs financed by RRF loans	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP	% GDP
7 Reduction in tax revenue							
8 Other costs with impact on revenue							
9 Financial transactions							